Corporation. Dividends on this issue and on Federal Water Service Preferred ranked as fixed charges of the Tri-Utilities system. When the latter company was unable to meet interest on its debentures and went into receivership in August, 1931, dividends on these underlying preferred issues were promptly discontinued, although both were apparently earned and the income of New York Water Service Corporation actually showed an increase over the previous year.

Minority Interest in Common Stock of Subsidiaries. The earnings applicable to minority stock are usually deducted in the income statement after the parent company's bond interest, and hence the former item does not reduce the margin of safety as generally computed. We prefer to subtract the minority interest before calculating the interest coverage. Exact treatment would require a prorating of deductions, but this involves needlessly burdensome calculations. When the minority interest is small, as is true in most cases, the difference between the various methods is inconsequential. When the minority interest is fairly large, analysis will show that the customary procedure gives a margin of safety somewhat higher than is strictly accurate, whereas our method errs moderately in the opposite direction, and hence should be preferred by conservative investors.[1]

"Capitalization of Fixed Charges," for Railroads and Utilities. In the previous chapter we pointed out certain difficulties in the way of arriving at a fair statement of the ratio of stock to debt in the case of railroads and public utilities. Debt may be represented not only by bond issues but also by guaranteed stocks, annual rental obligations, and effectively also by nonguaranteed preferred stocks of operating subsidiaries. In computing the interest coverage these items are taken care of by using the omnibus figure of fixed charges, instead of merely the bond interest. The principal amount of all these obligations is usually stated quite clearly in the consolidated balance sheet of a public-utility enterprise; but this may not be true in the case of a railroad company, chiefly because its rental obligations are not likely to be reflected in the balance sheet.

We suggest, therefore, that the "true" or "effective" debt of a railroad may be calculated by multiplying the fixed charges by an appropriate figure, say 22. This is equivalent to capitalizing the fixed charges at an

[1] See Appendix, Note 27 for a calculation under the three methods applied to the report of United Light and Railways Company for 1938.